



Emergence of modern economics

By the 18th century, people began to study the economy more closely, as thinkers tried to understand how the trade and investment decisions of individuals could have an effect on prices and wages throughout a country.

How it works

With the massive expansion of trade that accompanied the discovery of the Americas and the growth of nation states in Europe in the 16th and 17th centuries, individuals began to think in more detail about the idea of economics. They variously suggested that controlling the level of imports (mercantilism), trading only in the goods a country made best (comparative advantage), or choosing not to intervene in the markets

(laissez-faire) might improve their people's economic well-being. In the 18th century, economist Adam Smith proposed that government intervention—controlling wages and prices—was unnecessary because the self-interested decisions of individuals, who all want to be better off, cumulatively ensure the prosperity of their society as a whole. In addition, he believed that in a freely competitive market, the impetus to make profit ensures that goods are valued at a fair price.

Adam Smith's "invisible hand"

In his book *The Wealth of Nations* (1776), the Scottish economist Adam Smith suggested that the sum of the decisions made by individuals, each of whom wanting to be better off, results in a country becoming more prosperous without those individuals ever having consciously desired that end. According to Adam Smith, where there is demand for goods, sellers will enter the market. In the pursuit of profit they will increase the production of these goods, supporting industry.

Furthermore in a competitive market, a seller's self-interest limits the price rises they can demand in that if they charge too much, buyers will stop purchasing their goods or lose sales to competitors willing to charge less. This can have a deflationary effect on prices and ensures that the economy remains in balance. Smith referred to this market mechanism, which turns individual self-interest into wider economic prosperity, as an "invisible hand" guiding the economy.

